

SUSTAINED WITHOUT leave to amend.

Defendants Rocket Close, LLC and Rocket Companies, Inc's Demurrer as to the 7th, 9th and 11th Causes of Action SUSTAINED WITHOUT leave to amend.

Defendants to file an answer within 15 days.

10.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	MOTION TO STRIKE 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY OAKTREE FUNDING CORPORATION

Tentative Ruling: A party may move to strike matters from an opposing party's pleading if it is irrelevant, false or improper. (See CCP §§ 435, 436(a).) A motion to strike may also target all or any part of pleadings not filed or drawn in conformity with the applicable laws, rules or orders. (CCP § 436(b).)

Rocket Defendants move to strike (1) the Fifth, Eighth, Ninth, Fourteenth, Fifteenth (as to Rocket Close), Sixteenth, and Seventeenth Causes of Action on the ground that they exceed the scope of the May 28, 2026 leave to amend order, and (2) the punitive damages allegations at TAC paragraphs 30 through 45 as directed at Rocket Companies under Civ. Code § 3294(b).

Plaintiff responds that the Court's July 2, 2026 order selected V19 as the operative pleading with awareness of a narrower V20, ordered Defendants to respond, and struck V20; that the August 24, 2026 clarification confirmed V19's operative status "for all purposes"; and that each challenged cause arises from the same loan, escrow, title, funding, recordation, and post-notice course. Plaintiff further contends the punitive allegations rest on specific enterprise level ratification conduct, including notice to the Office of the CEO of Rocket Companies, a personal response by Varun Krishna, alleged cross-entity directing authority, and designation of Heather Moldovan of Rocket Close Operations to review the matter.

Scope of leave. The July 2, 2026 order selected V19 as the operative TAC after Plaintiff disclosed the narrower V20 on the record. The August 24, 2026 minute order confirmed V19 as operative while permitting individual causes to be tested by demurrer or motion. On this record, V19's operative status forecloses striking causes with prejudice on the basis of the May 28 leave order alone. The Court has now tested each challenged cause on demurrer. The Eighth and Ninth Causes of Action as to Rocket Defendants are sustained without leave to amend, rendering the scope of leave objection to those causes moot. As to the Fifth, Fourteenth, Fifteenth, Sixteenth, and Seventeenth Causes, each arises from the same transactional predicate (the May 15 title report, the "No Change" escrow-log entry, the July 14–15 disbursement and recording, and the post-notice course) already litigated by Rocket Defendants. A strike "with prejudice" on scope of leave grounds is not warranted where V19 is the operative pleading and the challenged theories arise from the same operative facts.

Punitive damages. Civ. Code § 3294(b) requires an officer, director, or managing agent to have personally committed, authorized, or ratified the wrongful conduct with advance knowledge of its wrongful character. Rocket Defendants argue no punitive

eligible predicate remains against Rocket Companies. That argument fails on this pleading. The Fourteenth Cause of Action for dependent adult financial abuse and the Sixteenth Cause of Action for aiding and abetting survive the motion to strike on scope of leave grounds and are pleaded against Rocket Defendants, including Rocket Companies. Both are punitive eligible. The Fourteenth Cause of Action is punitive eligible under Welf. & Inst. Code § 15657(a), and the Sixteenth Cause of Action is punitive eligible derivatively to the extent it attaches to underlying torts that support punitive recovery.

Taken as true on a motion to strike, Plaintiff's allegations of enterprise level ratification conduct, including written notice to the Office of the Chief Executive Officer of Rocket Companies, a personal response by Varun Krishna, and designation of Heather Moldovan of Rocket Close Operations to review the matter (TAC ¶¶ 31–34), place the section 3294(b) requirements at issue. Whether Plaintiff can ultimately prove by clear and convincing evidence that Rocket Companies' officers, directors, or managing agents authorized or ratified the challenged conduct with advance knowledge of its wrongful character is a merits question the Court cannot resolve on a motion to strike.

Defendants Rocket Close LLC and Rocket Companies, Inc's Motion to Strike DENIED.

11.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	DEMURRER ON 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY DEFENDANTS ROCKET CLOSE, LLC, ROCKET CLOSE, LLC (F/K/A AMROCK TITLE CALIFORNIA, INC.), AND ROCKET COMPANIES, INC.

Tentative Ruling: Defendant Oaktree Demurrers to the 2nd, 5th-16th and 18th Causes of Action:

2nd Cause of Action for Breach of Contract:

The Second Cause of Action alleges that Oaktree breached the Specific Closing Instructions by disbursing on July 14, 2025 and recording on July 15, 2025 without completing its final QC review and without ensuring the loan recorded in second-lien position, both of which the instructions required as pre-funding conditions. (TAC ¶¶ 14, 51–55, 76.)

Oaktree argues (1) no contractual duty required it to verify its own lien position because underwriting is performed for the lender's benefit under *Nymark v. Heart Federal Savings & Loan Association* (1991) 231 Cal.App.3d 1089, 1096, (2) the "final QC" language in the Specific Closing Instructions concerns Plaintiff's qualifications rather than title verification, which the instructions separately address, and (3) neither the note nor the deed of trust conditions Plaintiff's repayment on the actual lien position, so the claim improperly conflates two distinct contracts.

Plaintiff responds that the Specific Closing Instructions expressly state "OAKTREE TO PERFORM FINAL QC REVIEW PRIOR TO FUNDING" and "THIS LOAN MUST